a new car on a full down payment of Rs 17 lakh. Talking about the land he lost, Satish said, "If it were this year, I could have retained the land."

The current hike in coffee prices is driven by a supply shock in Robusta (a species of coffee plant), say industry insiders, owing to a dry spell in Vietnam. The country, along with Brazil, supplies nearly 60 per cent of the global coffee production. While coffee prices are cyclical, with booms and busts every few years depending on the weather vagaries in these countries, this is the first time, industry experts say, that Robusta has driven the change. Arabica, the most commonly grown coffee species globally, comprises nearly 60 per cent of total production. Suited for cultivation in higher altitudes, its beans typically command a premium for their refined flavour. Robusta, the second most common variety, thrives in mid elevations and roasters use it to give more body to their coffee blends. While Vietnam mostly grows Robusta (about 95 per cent of total production), Brazil is the biggest producer of Arabica (about 70 per cent of its produce).

TRADE HOUSES IN EUROPE AND THE US, THE TWO BIG COFFEE CONSUMERS, HAD BEEN STOCKING LESS INVENTORY IN THE PAST TWO YEARS WHEN PRICES WERE LOW

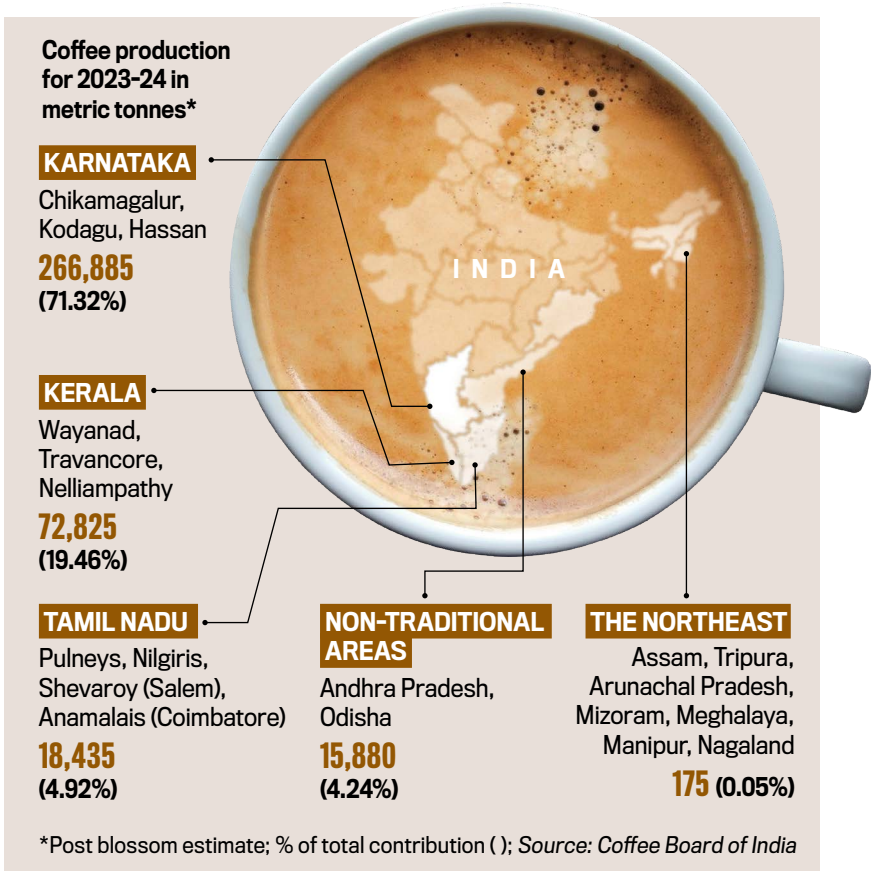
"Arabica is the big brother and it drives the prices," says Ramesh P. Rajah, president of the Coffee Exporters Association, India. "This time, it's the other way round." Owing to its cheaper price and better value for money, coffee blends over the years have been increasingly using more and more Robusta, Rajah explains. A lower crop in Vietnam has thus impacted global prices. "Suddenly, you find that even though there's enough Arabica, it's Robusta that is driving the market."

The hike in Robusta prices has had a direct and welcome impact on planters in India, where nearly 70 per cent of the country's projected coffee production of 374,200 tonnes for 2023-24 was Robusta, according to the Coffee Board of India. The increased prices took many by surprise, making some rue the lower rates at which they have already parted with some of their stock this year. K.N. Subramanya, president of the Hassan District Planters Association (in Karnataka), was happy to sell his produce for Rs 3,200-3,250 more (per 50 kg bag) in March-April this year than he had received in May 2023. He had lost about Rs 700 per bag last year by waiting too long for prices to improve and didn't want to commit the same mistake this year. However, just three weeks after he had sold off his produce, Robusta prices in Karnataka shot up even further, by as much as Rs 2,750-3,100 per bag (depending on the processing of the beans). "Nobody expected prices to gallop like this," says Subramanya. The planter estimates that close to 70 per cent growers have cleared their stock, while the ones with more resources could afford to hold on for a further hike in rates.

According to the International Coffee Organisation's (ICO) coffee market report for April, Robusta prices "rose 16.8 per cent to 193.65 US cents/lb in April 2024, its highest level in 45 years since July 1979, when it averaged 195.90 US cents/lb". The report cited a projection by Vietnam's agriculture department of a 20 per cent drop in its national coffee production for the 2023/24 year to 1.472 million tonnes—the

THE COFFEE KINGS

India's coffee-growing regions and their share in the country's total production in the past year



*Post blossom estimate; % of total contribution ( ); *Source: Coffee Board of India*

Graphic by TANMOY CHAKRABORTY